

Multiple Choice (10 marks)

1. The size of the labor force in Japan is expected to shrink beginning in 2010 as a large segment of its population retires. This will
 - (a) affect labor productivity more than economic growth.
 - (b) affect economic growth more than labor productivity.
 - (c) not have a major effect on economic growth or labor productivity.
 - (d) affect labor productivity and economic growth equally.
2. Which of the following policies best describes supply-side fiscal policy?
 - (a) An increase in the money supply
 - (b) Increased government spending
 - (c) Lower taxes on research and development of new technology
 - (d) Higher taxes on household income
3. Which of the following might explain how a price decrease might cause a decrease in quantity demanded and an upward-sloping demand curve?
 - (a) The good is inferior and the income effect is stronger than the substitution effect.
 - (b) The good is normal and the income effect is stronger than the substitution effect.
 - (c) The good is normal and the income effect is weaker than the substitution effect.
 - (d) The good is inferior and a luxury.
4. Country A has a current account surplus; this means that
 - (a) Country A also has a financial account surplus.
 - (b) Country A has a financial account deficit.
 - (c) Country A must borrow from its foreign reserves.
 - (d) Country A is operating in a recessionary gap.
5. Opportunity costs or implicit costs of a "Mom & Pop"-owned business are:
 - (a) equal to accounting costs.
 - (b) equal to accounting profits.
 - (c) equal to earnings or profits that could have occurred using resources elsewhere.
 - (d) equal to earnings or profits that occurred for Mom & Pop's business.

True / False (10 marks)

Answer True or False

6. True or False: M2 includes savings deposits, which are not part of M1.
7. True or False: An increase in the price of ice cream, a complementary good, can lead to an increase in the demand for hot chocolate.
8. True or False: A protective tariff on imported steel improves allocative efficiency by lowering price.
9. True or False: A decrease in the money supply would lower both the price level and output in the short run.
10. True or False: The price elasticity of demand for a product is greater when the product is considered a necessity.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a simultaneous drought affecting pineapple supply and a discovery that may help prevent cancer could impact the equilibrium price and quantity of pineapples.
12. How do producers' expectations of higher future prices for good A influence the equilibrium price and quantity of good A?

End of Paper